November 8, 2026 08:46 PM GMT

Wiwynn Corp | Asia Pacific

3Q beat on higher GM/OpM

AlphaSignals Earnings Reaction

Unchanged	Modest upside	Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Recent concerns revolve around potential data center delays, though the supply chain has not seen any changes. However, we lower our mid-term growth rate to bake in some conservatism. Our PT now implies a lower CY27 P/E at 12x. RR looks attractive at 7.7x CY27 P/E vs. the 3Y avg. of ~10x.

Key Takeaways

- 3Q EPS was NT$42.09, 44% above our estimate/10% above the Street, driven by GM/OpM beat despite higher non-op losses.
- Oct rev at ~NT$165M (+81% y/y), implies 4Q rev should grow double-digits q/q, driven by continued strength from general server and rising ASIC server racks.

4Q revenue should continue to grow double-digits q/q: Wiwynn announced October revenue at ~NT$165B (-4% m/m, +81% y/y). If we assume the October monthly run-rate can be sustained, 4Q should grow at least 13-14% q/q. However, we think ASIC server racks will continue to ramp-up through-out year-end, so we forecast 4Q revenue to ~20% q/q to reach ~NT$520B (+78% y/y). Higher cost structure and higher mix of ASIC server racks should drive margins to decline q/q to ~8.5% (-40bps q/q), resulting in net profit of ~NT$27.7B or EPS of NT$46.70.

ASIC/GPU projects remain on track: Our checks indicate that Trainium3 server rack production is ramping up well at Wiwynn, and with T3, Wiwynn is a more comprehensive partner, also engaging in UBB and switch trays. It will also engage in AMD's (covered by Joe Moore) MI455 Helios rack assembly for customers such as Meta (covered by Brian Nowak) and Oracle (covered by Sanjit Singh). We forecast Wiwynn to build ~8K Helios racks for CY27.

3Q results beat on better margins: Revenue was NT$434.6B (+63% y/y) with GM of 8.9% (-40bps q/q), which is 90bps/30bps above MSe/Street. OP reached ~NT $32.5B (+66% y/y) for OpM of 7.5% (+20bps q/q), which is 100bps/50bps above MSe/Street, driven by operating leverage. Non-op losses were slightly higher than MSe/Street mainly due to higher interest expense, resulting in net profit of ~NT $23.4B (+52% y/y) for EPS of NT$42.09, 44%/10% above MSe/Street.

Reiterate OW with price target unchanged at NT$2,515 (12x/11x CY27/28e P/E) – our higher EPS estimates are offset by a lower mid-term growth rate. Risk-reward is highly attractive at 7.7x CY27e or 6.7x CY28e P/E vs. the three-year range of 6-16x, with a strong pipeline of AI and non-AI server projects.

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Wiwynn Corp (6669.TW, 6669 TT)
Top Pick

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$2,515.00
Up/downside to price target (%)	62
Shr price, close (Nov 6, 2026)	NT$1,555.00
52-Week Range	NT$2,875.00-1,102.99
Sh out, dil, curr (mn)	505
Mkt cap, curr (mn)	NT$785,682
EV, curr (mn)	NT$775,999
Avg daily trading value (mn)	NT$10,312

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	92.22	134.98	202.46	232.48
Prior EPS (NT$)**	-	119.86	156.50	180.83
EPS (NT$)§	273.61	151.98	191.45	241.44
Revenue, net (NT$ mn)	950,663	1,509,644	3,496,625	4,168,882
EBITDA (NT$ mn)	66,608	110,070	169,007	193,071
ModelWare net inc (NT $ mn)	51,118	80,177	120,259	138,094
P/E	16.9	11.5	7.7	6.7
P/BV	6.9	5.1	3.6	2.8
RNOA (%)	105.7	73.1	70.7	39.2
ROE (%)	58.0	64.3	66.8	53.5
EV/EBITDA	12.9	7.2	5.3	4.6
Div yld (%)	1.6	3.1	4.6	6.9
FCF yld ratio (%)**	(1.8)	1.7	(7.5)	7.6
Leverage (EOP) (%)	(7.8)	(0.4)	42.9	31.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology

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§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Key changes in our estimates

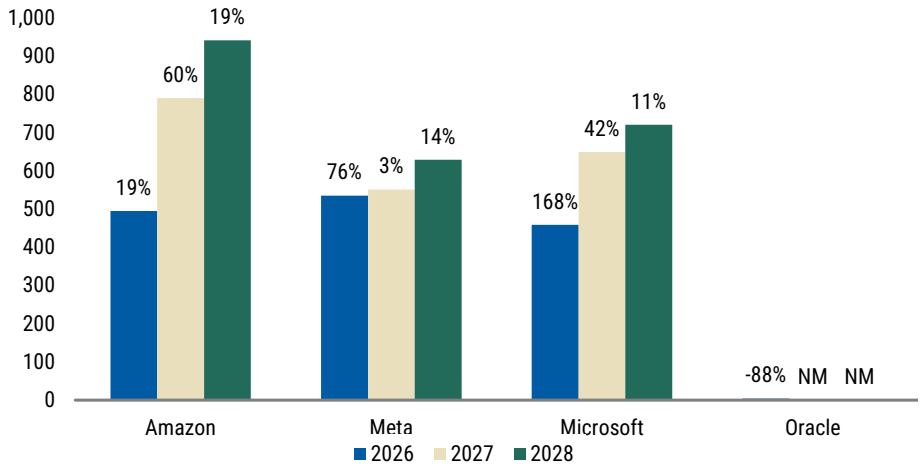
Please see below where we highlight our changes to revenue estimates to Wiwynn from key hyperscaler customers. These are a combination of ASP and volume changes, based on our latest Asia supply chain checks. We also include assumptions from AMD Helios racks assembly into our CY27 estimates, at around ~8K racks.

Exhibit 1: Changes to Wiwynn's revenue estimates from key hyperscaler customers

NT$ M	2026			2027			2028		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Amazon	494,826	407,742	21%	791,186	510,739	55%	942,193	642,474	47%
Meta	535,611	580,657	-8%	551,729	860,053	-36%	629,418	963,262	-35%
Microsoft	458,978	328,055	40%	649,680	451,434	44%	721,061	528,828	36%
Oracle	3,975	3,975	0%	-	-	NM	-	-	NM

Source: Morgan Stanley Research estimates.

Exhibit 2: Our revenue forecast for Wiwynn, from its major customers (2026-28)



Source: Morgan Stanley Research estimates.

Our overall earnings estimate changes

We raise our EPS estimates 13% for CY26, 29% for CY27, and 29% for CY28: This mainly reflects changes to our assumptions, which we laid out in the section above. The difference between net profit and EPS change is due to changes in share count.

Exhibit 3: Estimate changes

	2026E			2027E			2028E		
Year to Dec. 31 (NT$m)	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**
P&L Summary									
Net sales	**1,509,644**	**1,335,596**	**13%**	**3,496,625**	**2,344,056**	**49%**	**4,168,882**	**2,150,774**	**94%**
COGS	(1,380,368)	(1,230,633)		(3,299,531)	(2,202,387)		(3,942,335)	(1,990,827)	
Gross profit	**129,276**	**104,963**	**23%**	**197,094**	**141,669**	**39%**	**226,546**	**159,946**	**42%**
Operating expenses	(21,896)	(18,426)		(32,636)	(27,485)		(39,101)	(28,353)	
Operating income	**107,379**	**86,536**	**24%**	**164,458**	**114,183**	**44%**	**187,446**	**131,593**	**42%**
Non-operating income	(4,954)	(913)		(8,410)	(1,852)		(8,410)	(1,852)	
Pre-tax income	**102,426**	**85,623**	**20%**	**156,048**	**112,331**	**39%**	**179,036**	**129,741**	**38%**
Income tax	(22,248)	(19,183)		(35,789)	(25,575)		(40,941)	(29,500)	
Net income	**80,177**	**66,440**	**21%**	**120,259**	**86,755**	**39%**	**138,094**	**100,241**	**38%**
EPS (NT$)	**134.98**	**119.86**	**13%**	**202.46**	**156.50**	**29%**	**232.48**	**180.83**	**29%**
Margins									
Gross margin	8.6%	7.9%		5.6%	6.0%		5.4%	7.4%	
Operating margin	7.1%	6.5%		4.7%	4.9%		4.5%	6.1%	
Pretax margin	6.8%	6.4%		4.5%	4.8%		4.3%	6.0%	
Net margin	5.3%	5.0%		3.4%	3.7%		3.3%	4.7%	

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

How we compare vs. consensus

We are now 3% and 3% above consensus estimates for CY26 and CY27, but 9% below consensus estimates for CY28 EPS.

Exhibit 4: Morgan Stanley estimates vs. Consensus

Wiwynn	MSe			Consensus			Variance		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	1,509,644	3,496,625	4,168,882	1,494,761	2,815,166	3,783,661	1%	24%	10%
GM	8.6%	5.6%	5.4%	8.5%	6.9%	6.7%	0.11ppt	-1.31ppt	-1.25ppt
OpM	7.1%	4.7%	4.5%	6.9%	5.5%	5.3%	0.2ppt	-0.78ppt	-0.76ppt
Net income	80,177	120,259	138,094	77,652	116,986	151,379	3%	3%	-9%
EPS	134.98	202.46	232.48	130.73	196.95	254.85	3%	3%	-9%

Source: Visible Alpha, Morgan Stanley Research estimates.

3Q26 results summary

Exhibit 5: 3Q26 Results Summary

Year to Dec. 31 (NT$ mn)	Actual 3Q26	Q/Q	Y/Y	MS Est. 3Q26	Diff. %	Consensus 3Q26	Diff. %
P&L Summary							
Net sales	**434,618**	**56%**	**63%**	**335,675**	**29%**	**403,585**	**8%**
COGS	(396,064)			(309,005)		(369,104)	
Gross profit	**38,553**	**50%**	**64%**	**26,670**	**45%**	**34,481**	**12%**
Operating expenses	(6,053)			(5,061)		(6,258)	
Operating income	**32,500**	**61%**	**66%**	**21,609**	**50%**	**28,223**	**15%**
Non-operating income	(2,083)			(463)		(843)	
Pre-tax income	**30,417**	**60%**	**49%**	**21,146**	**44%**	**27,380**	**11%**
Income tax	(7,052)			(4,969)		(6,066)	
Net income	**23,364**	**56%**	**52%**	**16,177**	**44%**	**21,314**	**10%**
EPS (NT$)	**42.09**			**29.18**		**38.39**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	8.9%	-0.4%	0.1%	7.9%	0.9%	8.5%	0.3%
Operating margin	7.5%	0.2%	0.1%	6.4%	1.0%	7.0%	0.5%
Pretax margin	7.0%	0.2%	-0.6%	6.3%	0.7%	6.8%	0.2%
Net margin	5.4%	0.0%	-0.4%	4.8%	0.6%	5.3%	0.1%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Price target discussion and valuation methodology

We keep our price target unchanged at NT$2,515: This implies 12x CY27e P/E or 11x CY28 P/E, vs. its thee-year average forward P/E of 10.3x, which we think is fair, in view of Wiwynn's AI server project wins and share gains for general-purpose servers in the next 1-2 years.

We continue to use a residual income model to derive our price target. Key assumptions include a cost of equity of 7.0% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), a medium-term growth rate of 4% (lowered from 6%), and a terminal growth rate of 3%.

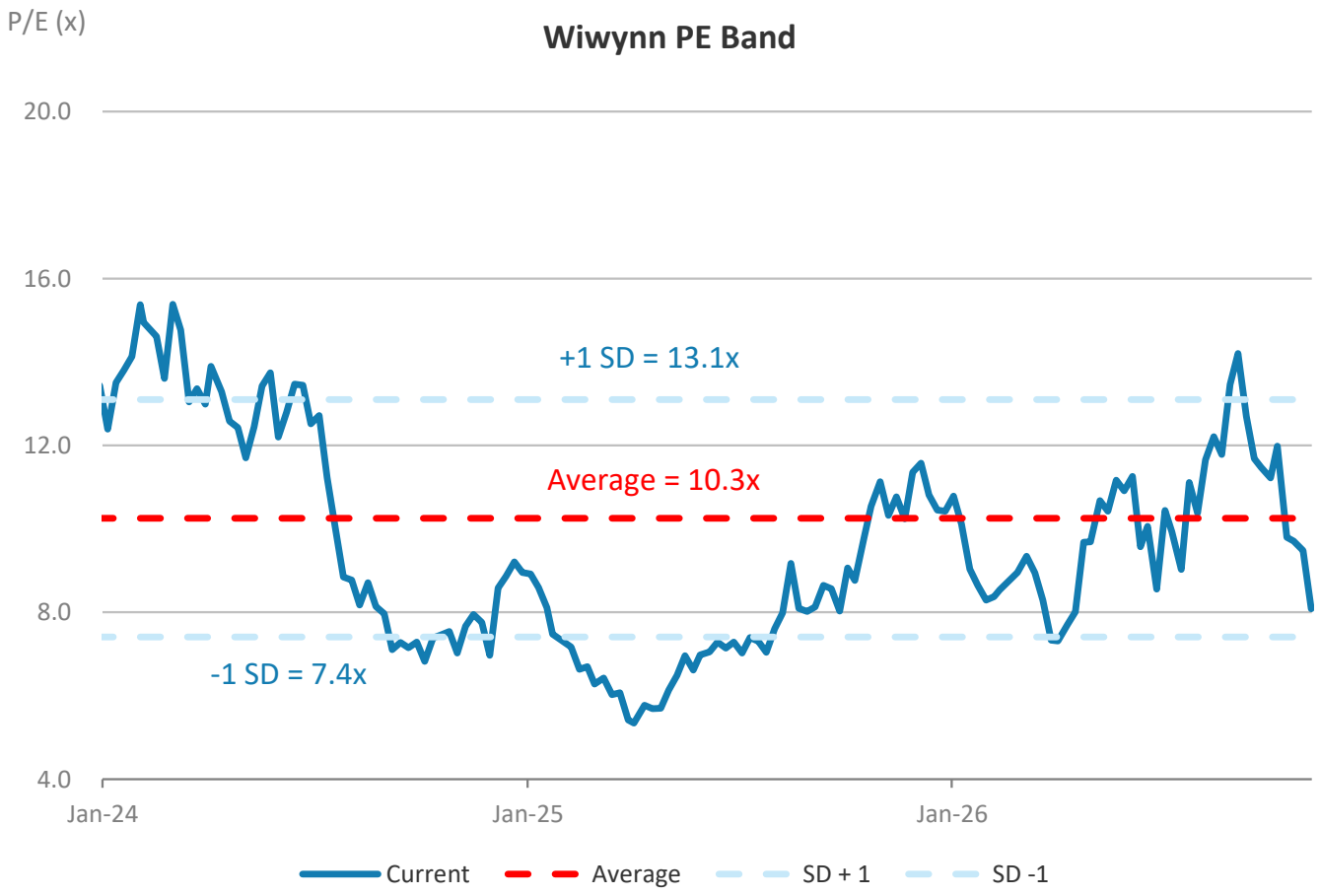
Our bull and bear case scenario values are also unchanged at NT$3,210 and NT$1,470, respectively.

Exhibit 6: Residual Income (RI) Model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		**179,964**	**257,955**	**332,652**	**492,013**	**656,155**	**825,221**	**999,359**	**1,178,721**	**1,363,464**	**1,553,750**	**1,749,744**
Net Profit		**80,177**	**120,259**	**138,094**	**142,237**	**146,504**	**150,900**	**155,427**	**160,089**	**164,892**	**169,839**	**174,934**
Return on Equity		**52.6%**	**54.9%**	**46.8%**	**34.5%**	**25.5%**	**20.4%**	**17.0%**	**14.7%**	**13.0%**	**11.6%**	**10.6%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%
Residual Income		**56,893**	**86,244**	**102,572**	**91,465**	**91,119**	**87,747**	**82,827**	**76,951**	**70,399**	**63,318**	**55,793**
Spread		**45.6%**	**47.9%**	**39.8%**	**27.5%**	**18.5%**	**13.4%**	**10.0%**	**7.7%**	**6.0%**	**4.6%**	**3.6%**
Beginning Equity Capital		179,964										
PV of Forecast Period		583,820										
PV of Continuing Value		730,327										
Equity Value		**1,494,111**										
No. of Shares		594										
Projected Price		**2,515**										
Implied 2027 PE		12.4x										
Implied 2028 PE		10.8x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 7: Wiwynn P/E



Source: Company data, Morgan Stanley Research (E) estimates.

Financials

Exhibit 8: Quarterly Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2025	2026E	2027E	2028E
Net sales	**170,655**	**220,744**	**266,824**	**292,440**	**276,508**	**278,153**	**434,618**	**520,366**	**950,663**	**1,509,644**	**3,496,625**	**4,168,882**
COGS	(155,806)	(201,800)	(243,292)	(271,311)	(255,627)	(252,390)	(396,064)	(476,288)	(872,209)	(1,380,368)	(3,299,531)	(3,942,335)
Gross profit	**14,849**	**18,943**	**23,532**	**21,129**	**20,881**	**25,763**	**38,553**	**44,078**	**78,454**	**129,276**	**197,094**	**226,546**
Operating expenses	(2,869)	(3,044)	(3,960)	(4,664)	(3,423)	(5,545)	(6,053)	(6,875)	(14,537)	(21,896)	(32,636)	(39,101)
SG&A	(1,290)	(1,195)	(1,134)	(1,499)	(1,375)	(1,465)	(1,931)	(2,089)	(5,119)	(6,860)	(11,834)	(13,841)
R&D	(1,579)	(1,849)	(2,826)	(3,164)	(2,048)	(4,081)	(4,122)	(4,786)	(9,418)	(15,036)	(20,802)	(25,259)
Operating income	**11,981**	**15,899**	**19,572**	**16,466**	**17,458**	**20,218**	**32,500**	**37,203**	**63,918**	**107,379**	**164,458**	**187,446**
Non-operating income	**543**	**(179)**	**779**	**992**	**476**	**(1,244)**	**(2,083)**	**(2,103)**	**2,135**	**(4,954)**	**(8,410)**	**(8,410)**
Interest income	(450)	(369)	(345)	(949)	(1,057)	(1,536)	(2,703)	(2,703)	(2,113)	(7,999)	(10,812)	(10,812)
Investment income	(16)	(11)	(11)	(14)	(137)	0	0	0	(52)	(135)	2	2
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	971	(54)	1,171	1,805	783	(575)	0	0	3,893	208	0	0
Other	38	256	(36)	150	887	866	619	600	407	2,973	2,400	2,400
Pre-tax income	**12,523**	**15,720**	**20,351**	**17,458**	**17,934**	**18,974**	**30,417**	**35,101**	**66,052**	**102,426**	**156,048**	**179,036**
Income tax	(2,730)	(3,598)	(4,940)	(3,666)	(3,820)	(4,005)	(7,052)	(7,371)	(14,934)	(22,248)	(35,789)	(40,941)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	**9,793**	**12,122**	**15,411**	**13,792**	**14,114**	**14,969**	**23,364**	**27,730**	**51,118**	**80,177**	**120,259**	**138,094**
Adj.wtd.avg.shrs (mn)	554	554	554	554	554	555	555	573	554	594	594	594
EPS	**17.67**	**21.87**	**27.80**	**24.88**	**25.46**	**26.96**	**42.09**	**48.38**	**92.22**	**134.98**	**202.46**	**232.48**
Fully Diluted shares (mn)	576	576	576	576	576	576	576	594	576	594	594	594
Diluted EPS (NT$)	**17.01**	**21.05**	**26.77**	**23.95**	**24.51**	**26.00**	**40.58**	**46.70**	**88.78**	**135.03**	**202.54**	**232.58**
Margins (%)												
Gross Margin	8.7	8.6	8.8	7.2	7.6	9.3	8.9	8.5	8.3	8.6	5.6	5.4
Operating Margin	7.0	7.2	7.3	5.6	6.3	7.3	7.5	7.1	6.7	7.1	4.7	4.5
Pretax Margin	7.3	7.1	7.6	6.0	6.5	6.8	7.0	6.7	6.9	6.8	4.5	4.3
Net Margin	5.7	5.5	5.8	4.7	5.1	5.4	5.4	5.3	5.4	5.3	3.4	3.3
QoQ Growth (%)												
Sales	48	29	21	10	-5	1	56	20				
Gross Profit	37	28	24	-10	-1	23	50	14				
Operating Profit	47	33	23	-16	6	16	61	14				
Pretax Profit	43	26	29	-14	3	6	60	15				
Net Profit	39	24	27	-11	2	6	56	19				
YoY Growth (%)												
Sales	145	185	173	153	62	26	63	78	164	59	132	19
Gross Profit	93	126	126	94	41	36	64	109	110	65	52	15
Operating Profit	105	156	148	103	46	27	66	126	127	68	53	14
Pretax Profit	112	153	156	99	43	21	49	101	129	55	52	15
Net Profit	108	158	144	96	44	23	52	101	125	57	50	15

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 9: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**950,663**	**1,509,644**	**3,496,625**	**4,168,882**
COGS	(872,209)	(1,380,368)	(3,299,531)	(3,942,335)
Gross profit	**78,454**	**129,276**	**197,094**	**226,546**
Operating expenses	(14,537)	(21,896)	(32,636)	(39,101)
Operating income	**63,918**	**107,379**	**164,458**	**187,446**
Non-operating income	**2,135**	**(4,954)**	**(8,410)**	**(8,410)**
Interest income	(2,113)	(7,999)	(10,812)	(10,812)
Investment income	(52)	(135)	2	2
Disposal of investment	-	-	-	-
Exchange gain	3,893	208	-	-
Other	407	2,973	2,400	2,400
Pre-tax income	**66,052**	**102,426**	**156,048**	**179,036**
Income tax	(14,934)	(22,248)	(35,789)	(40,941)
Minority interests	-	-	-	-
Net income	**51,118**	**80,177**	**120,259**	**138,094**
Adj. wtd. Avg. shrs (m)	554	594	594	594
Reported EPS (NT$)	**92.22**	**134.98**	**202.46**	**232.48**
Diluted shrs (m)	576	594	594	594
Diluted EPS (NT$)	**88.78**	**135.03**	**202.54**	**232.58**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**(624)**	**18,722**	**(107,416)**	**65,365**
Net Profits	51,118	80,177	120,259	138,094
Depreciation & Amort.	2,690	2,690	4,549	5,625
Investment losses/(income)	0	135	(2)	(2)
Working capital change	70,275	(61,989)	(224,076)	(75,597)
Other adjustments	(124,441)	(2,292)	(8,146)	(2,756)
Investing Cashflow	**(13,766)**	**(17,091)**	**(12,894)**	**(12,489)**
Capex	(13,674)	(18,000)	(15,000)	(15,000)
Change of L/T investment	0	0	0	0
Change of S/T investment	(38)	0	0	0
Other adjustments	(627)	0	0	0
Financing Cashflow	**56,188**	**39,583**	**28,840**	**(26,105)**
Increase in L/T debt	4,706	20,000	20,000	20,000
Increase in S/T debt	66,473	30,000	0	0
Issuance of stock	0	4,082	0	0
Cash dividends	(13,752)	(28,876)	(42,266)	(63,396)
Other adjustments	(1,240)	14,377	51,106	17,291
FX adjustment	(192)	(208)	0	0
Net change in cash	**41,605**	**41,007**	**(91,470)**	**26,771**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**89,934**	**130,941**	**39,471**	**66,243**
Mkt securities	-	-	-	-
AR/NR	76,888	122,098	282,803	337,174
Inventory	136,257	215,642	515,455	615,874
Others	3,897	6,189	14,335	17,091
Current Assets	**306,977**	**474,870**	**852,064**	**1,036,382**
Long-term investments	1,377	1,377	1,377	1,377
Fixed assets	20,848	35,249	43,594	50,457
Other assets	8,987	8,987	8,987	8,987
Total Assets	**338,189**	**520,483**	**906,021**	**1,097,203**
S/T borrowings	72,197	102,197	102,197	102,197
AP/NP	79,366	125,605	300,237	358,728
Other ST liabilities	28,091	44,457	106,266	126,968
Total Current Liabilities	**179,654**	**272,259**	**508,700**	**587,894**
L/T debt	9,431	29,431	49,431	69,431
Other LT libilities	24,452	38,829	89,935	107,226
Total Liabilities	**213,537**	**340,519**	**648,067**	**764,551**
Common shares	1,858	5,940	5,940	5,940
Retained Earnings	77,796	129,026	207,017	281,714
Other SH' Equity	44,998	44,998	44,998	44,998
Total Shareholders' Equity	**124,653**	**179,964**	**257,955**	**332,652**
Total Liab./SH's Equity	**338,189**	**520,483**	**906,021**	**1,097,203**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	8.3	8.6	5.6	5.4
Operating margin	6.7	7.1	4.7	4.5
Pretax margin	6.9	6.8	4.5	4.3
Net margin	5.4	5.3	3.4	3.3
YoY growth (%)				
Sales	163.7	58.8	131.6	19.2
Operating profits	127.5	68.0	53.2	14.0
Pretax profits	129.2	55.1	52.4	14.7
Net profits	124.5	56.8	50.0	14.8
Others				
Cash dividend payout (%)	53%	53%	53%	53%
Cash div (NT$)	48.61	71.16	106.73	122.55
Yield (%)	3%	5%	7%	8%
Net Debt/Equity (%)	-7%	0%	43%	32%
Liabilities/Equity (%)	171%	189%	251%	230%
Liabilities/Assets (%)	63%	65%	72%	70%
ROAE (%)	48%	53%	55%	47%
ROAA (%)	19%	19%	17%	14%
AR/NR Turnover (days)	22	24	21	27
Inventory Turnover (days)	47	47	40	52
AP/NP Turnover (days)	28	27	24	31
Cash conversion cycle	41	43	38	49

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Wiwynn Corp (6669.TW) Top Pick

Growing demand for AI and non-AI servers into 2027

PRICE TARGET NT$2,515.00

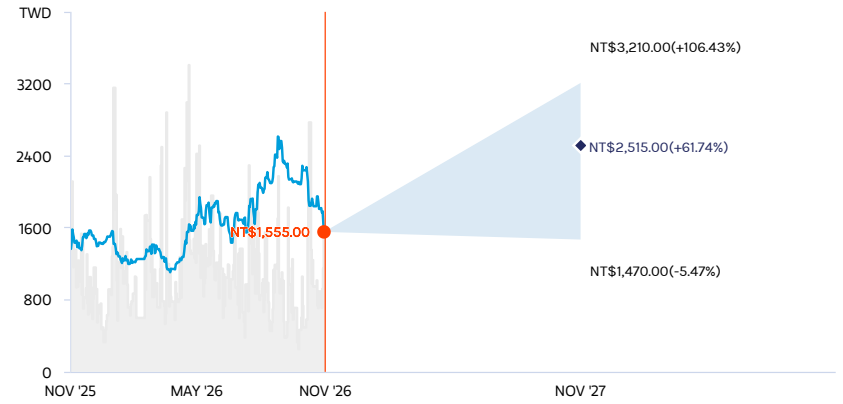
Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.0% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), medium-term growth rate of 4%, and terminal growth rate of 3%.

Consensus Price Target Distribution NT$1,570.67 NT$2,866.70 MS PT NT$4,000.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Beneficiary of enlarged CPU TAM driven by rising demand for agentic AI.
- Share gainer within ASIC programs, with Wiwynn taking share on UBB and switch tray assembly, along with ramp up of Trainium 3 from 2H26.
- Wiwynn will also be the main ODM for Meta and Oracle's AMD MI4505 Helios server racks, which will mainly contribute in CY27.
- It will also be a supplier of Nvidia VR200 racks for Oracle, which will mainly contribute in CY27.
- Our price target implies 12x CY27e P/E, not stretched vs. the three-year average of ~10x.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Negative*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$3,210.00

16x 2027e P/E

Data center builds accelerate: Assumes geopolitical tensions diminish, with macro data picking up, and accelerating data center builds from hyperscale vendors such as Meta, Microsoft, and Amazon, leading to further demand upside for general computing servers and AI servers alike.

BASE CASE NT$2,515.00

12x 2027e P/E

Based on our analysis, we now expect AI servers to account for ~50% of revenue in 2027, from 20-30% in 2024, as Wiwynn ramps up its AI server shipments and general server demand also grows strongly.

BEAR CASE NT$1,470.00

7.3x 2027e P/E

Data center builds get pushed out: Assumes geopolitical tensions escalate, with macro data deteriorating, driving hyperscale vendors such as Meta and Microsoft to push out their data center builds, which leads to further demand downside for both general computing servers and AI servers.

Risk Reward – Wiwynn Corp (6669.TW)

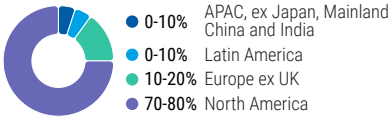
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Rack shipment y/y (%)	110.5	20.8	21.3	12.3
FB market share (%)	20.7	16.4	10.8	11.0
MSFT market share (%)	11.3	21.1	17.2	16.0

INVESTMENT DRIVERS

- Monthly revenue
- Supplier share allocation
- Server units per rack

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Accelerated demand pull-in from Meta, Microsoft, and Amazon
- Project wins from new customers
- Share gain
- Edge computing projects
- Accelerated AI server penetration

RISKS TO DOWNSIDE

- Delayed data center builds from Meta, Microsoft, and Amazon
- Server demand slowdown
- Share loss
- Delayed AI server penetration

OWNERSHIP POSITIONING

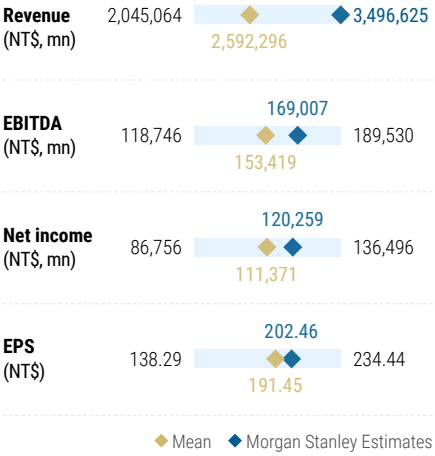
Inst. Owners, % Active 71.6%



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

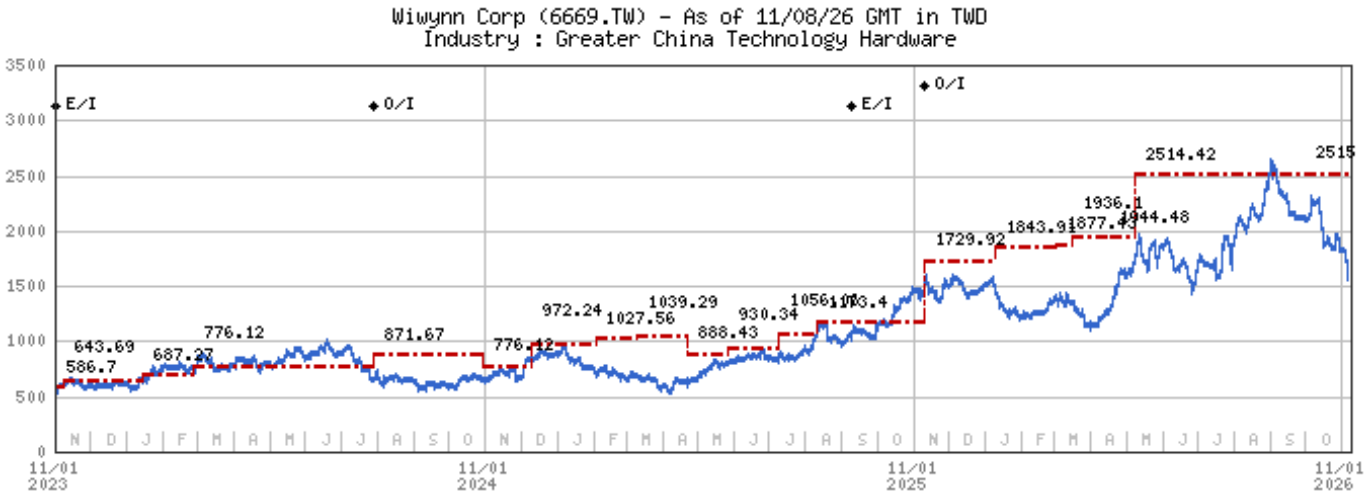
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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : O/I; 1/9/23 : E/I; 7/12/23 : O/I; 10/17/23 : E/I; 7/29/24 : O/I; 9/9/25 : E/I; 11/10/25 : O/I

Price Target History: 7/28/21 : 355.37; 5/3/22 : 402.31; 7/26/22 : 318.49; 11/2/22 : 335.26; 1/9/23 : 273.23; 2/24/23 : 288.32; 5/9/23 : 323.52; 6/9/23 : 321.85; 7/12/23 : 595.08; 8/9/23 : 643.69; 10/17/23 : 586.7; 11/8/23 : 643.69; 1/15/24 : 687.27; 2/27/24 : 776.12; 7/29/24 : 871.67; 10/30/24 : 776.12; 12/10/24 : 972.24; 2/3/25 : 1027.56; 3/10/25 : 1039.29; 4/23/25 : 888.43; 5/27/25 : 930.34; 7/9/25 : 1056.06; 8/11/25 : 1173.4; 11/10/25 : 1729.92; 1/9/26 : 1843.91; 3/2/26 : 1877.43; 3/16/26 : 1936.1; 4/17/26 : 1944.48; 5/8/26 : 2514.42; 10/1/26 : 2515

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.64
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb91.30
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.40
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.00
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.54
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb172.10
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$825.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.61
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.01
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.35
Largan Precision (3008.TW)	O (10/13/2026)	NT$4,480.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.16
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.63
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.55
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.06
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.05
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.66
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.43
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb77.29
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.68
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb65.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.05

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb122.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb11.49
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb240.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$86.05
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.43
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.84
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb448.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$569.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.06
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.20
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,280.00
Advantech (2395.TW)	O (01/20/2021)	NT$552.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,010.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,055.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.46
Chenbro (8210.TW)	O (07/23/2025)	NT$546.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,205.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,055.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,690.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$274.50
Innolux (3481.TW)	E (04/07/2025)	NT$36.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$7,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb27.01
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$198.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$859.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$183.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$3,820.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$2.91
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb40.71
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$298.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$813.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$224.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.12
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.40
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$1,750.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,585.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$875.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.90
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$290.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.49
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb199.92
Unimicron (3037.TW)	O (02/23/2026)	NT$727.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$319.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$160.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,555.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$374.00
Zhen Ding (4958.TW)	++	NT$373.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$303.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$906.00

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